

Best's Credit Rating Effective Date

July 18, 2025

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Information

[Best's Credit Rating Methodology](#)

[Guide to Best's Credit Ratings](#)

[Market Segment Outlooks](#)

Financial Data Presented

The financial data in this report reflects the most current data available to the Analytical Team at the time of the rating. Updates to the financial exhibits in this report are available here: [Best's Financial Report](#).

NGL Insurance Group

AMB #: 070358

Associated Ultimate Parent: AMB # 006777 - National Guardian Life Insurance Company

Best's Credit Ratings - for the Rating Unit Members

Financial Strength Rating (FSR)

A
Excellent
Outlook: Stable
Action: Affirmed

Issuer Credit Rating (ICR)

a
Excellent
Outlook: Stable
Action: Affirmed

Assessment Descriptors

Balance Sheet Strength	Very Strong
Operating Performance	Adequate
Business Profile	Neutral
Enterprise Risk Management	Appropriate

Rating Unit - Members

Rating Unit: NGL Insurance Group | **AMB #:** 070358

AMB # **Rating Unit Members**
006777 National Guardian Life Ins Co

AMB # **Rating Unit Members**
060371 Preneed Reins Co of America *

* AMB# 060371 was deleted as a member of the Rating unit

Rating Rationale

Balance Sheet Strength: **Very Strong**

- NGL Insurance Group (NGL) has maintained the strongest level of risk-adjusted capitalization as measured by Best's Capital Adequacy Ratio (BCAR) over the long term, further bolstered by a favorable liquidity position.
- While the group has extended investment into Schedule BA categorized funds over the previous several years, the overall investment portfolio remains conservative and is heavily weighted in investment-grade bonds.
- Capital and surplus has been supported by several surplus notes that slightly decrease the quality of capital overall; however, financial leverage ratios have improved over the previous several years as the group continues to pay these notes down over time.

Operating Performance: **Adequate**

- NGL has maintained consistent operating profitability over the long term with only some volatility in results due to strategy changes, planned expenditures to enhance technology, or macroeconomic effects.
- Net premiums written have grown substantially since 2021 as the group changed its strategy to retain 100% of its core preneed business that had previously been reinsured through a coinsurance with funds withheld treaty.
- The associated statutory strain from retaining more policy risk led to lower operating earnings in 2023 with an additional decline in 2024 driven by expenditures on a new policy administration system. Despite these impacts, the group has maintained profitability by gains from the dissolution of subsidiary Preneed Re and general investment income growth.

Business Profile: **Neutral**

- NGL is viewed as a major player within the senior market with its top product offering of preneed life. The group has demonstrated competence in acquisitions over its history and has made substantial strategic decisions in recent years to grow organically.
- In recent years, the group has moved to de-risk by selling closed blocks of non-core business and shifting focus to growing preneed sales while upgrading administration systems to support it.
- NGL utilizes marketing partners, brokerage general agents, third-party administrators, and agents to sell its products across the United States with favorable geographic diversification among the states.

Enterprise Risk Management: **Appropriate**

- NGL has an enterprise risk management program tailored for its size and lines of business, which is fully integrated into day-to-day management and business operations, keeping it an essential part of the group's key strategies for profitability.
- The group has spent the last several years de-risking by selling off non-core life and annuity blocks and shifting its focus to growing preneed and upgrading foundational systems.
- NGL has avoided products with high investment and disintermediation risks, and in the past, it has exited a number of lines of business after determining that it could not effectively compete, achieve sufficient economies of scale, or otherwise earn a sufficient return within a reasonable time frame that would justify the risk. The agility exemplified by the group in changing strategy on new or developing information is seen as a positive factor in the assessment of its enterprise risk management framework.

Outlook

- The stable outlooks reflect the group's very strong balance sheet strength assessment, driven by the strongest level of risk-adjusted capitalization as measured by BCAR, together with an improvement in its quality of capital resulting from the ongoing paydown of its surplus notes.

Rating Drivers

- A negative rating action could occur if there is a material deterioration in balance sheet strength metrics.
- A negative rating action may occur if there is a material deterioration in the group's overall operating performance metrics.
- A positive rating action may occur, though unlikely in the short term, if the group establishes a track record of operating performance metrics above industry averages over a multi-year period.

Key Financial Indicators

Best's Capital Adequacy Ratio (BCAR) Scores (%)

Confidence Level	95.0	99.0	99.5	99.6
BCAR Score	60.3	47.3	42.1	40.7

Source: Best's Capital Adequacy Ratio Model - Combined Life & Health, US

Key Financial Indicators USD (000)	Year End - December 31				
	2024	2023	2022	2021	2020
Total Assets	5,138,291	4,939,933	4,830,903	4,732,177	4,460,943
Policy and Claim Reserves:					
Life and Annuity	3,377,959	3,138,879	2,956,686	2,996,924	3,287,555
Accident & Health	16,293	10,507	5,838	3,546	3,950
Health	4,814	5,697	6,194	5,887	6,427
Capital and Surplus	477,856	494,784	543,423	517,333	449,950
Total Revenues	1,010,170	879,191	589,772	457,534	442,481
Net Income	3,741	17,311	32,965	73,560	24,074
Net Operating Cash Flow	224,715	157,323	170,911	262,054	126,805
Net Premiums Written:					
Life and Annuity	655,725	558,121	248,137	52,032	184,779
Accident & Health	13,743	13,067	12,151	11,257	11,189
Health	33,745	32,848	29,941	29,722	32,816
NPW Total	703,212	604,036	290,228	93,010	228,783

Source: BestLink® - Best's Financial Suite

Key Financial Ratios	Year End - December 31					Weighted Average
	2024	2023	2022	2021	2020	
Overall:						
Operating Return on Revenue (%)	0.9	1.7	2.8	16.8	6.3	4.3
Operating Return on Capital and Surplus (%)	2.0	2.8	3.1	15.9	6.5	5.9
Health Operations:						
Loss Ratio (%)	3.7	4.2	8.0	24.9	11.1	6.5
Administrative Expense Ratio (%)	20.8	21.1	21.2	20.9	21.8	21.2
Combined Ratio (%)	24.6	25.4	29.2	45.9	32.9	27.6
IBNR Coverage (Days)	39.9	52.6	67.9	68.8	67.5	...

Source: BestLink® - Best's Financial Suite

Credit Analysis

Balance Sheet Strength

NGLIC's risk-adjusted capitalization, as measured by Best's Capital Adequacy Ratio (BCAR), is considered strongest relative to its insurance and investment risks. Overall, the company has a very strong balance sheet assessment bolstered by steady annual gains from operations.

Capitalization

The company's capital management strategy is focused on maximizing profitability and controlling expenses to internally generate the capital needed to support the company's growth targets. NGLIC has used a disciplined approach during acquisitions to ensure the group maintains a well-capitalized position for its current rating. The long-term growth in surplus has been primarily produced by consistent profitability. With the exception of a modest decline in surplus from capital deployment and surplus note repayments in 2024 capital and surplus has seen continued favorable growth over recent years due to sustained favorable net income results.

Balance Sheet Strength (Continued...)

The company has issued surplus notes in the past to help fund a portion of its past merger and acquisition activity. In 2015, to fund a purchase from Madison National Life Insurance Company (MNL), the company issued a \$47 million surplus note. Annual principal payments under the \$47 million note commenced in 2021, starting at \$1.5 million and gradually increasing to \$3.0 million, with a final payment of \$9.5 million at maturity. At year-end 2024, surplus notes represented approximately 8% of adjusted capital and surplus which is a substantial decrease from the high of 23.5% of capital and surplus in 2015. Financial leverage resulting from the surplus notes is expected to continue its decline over time due to capital growth, payoff, and no immediate plans to offer new notes, further improving the company's quality of capital.

As the company's objective is to achieve larger critical mass, further geographic distribution, and increase premium growth, the company continues to evaluate opportunities to acquire blocks of compatible life policies and life insurance companies while expanding its organic preneed product sales. AM Best believes that growth through further acquisitions could present the group with increased challenges regarding the capital resources and funding constraints of a mutual organization and the additional risks and uncertainties involving integration and business plans. While NGLIC has demonstrated a successful trend of acquisitions in the past more recent emphasis has been placed on controlled organic sales growth in its core preneed business.

According to the AM Best Liquidity Model for U.S. Life Insurers, NGLIC maintains a solid level of liquidity suitable for its insurance products. This level of liquidity enables the company to meet unexpected needs for cash without the untimely sale of investments, which could result in realized gains/losses due to market volatility. The company's quick, current and overall liquidity ratios (which are key liquidity tests for life insurance companies) also exceed industry composites.

Year End - December 31

Capital Generation Analysis USD (000)

	2024	2023	2022	2021	2020
Beginning Capital and Surplus	494,784	524,092	517,333	449,950	404,768
Net Operating Gain	9,566	14,523	16,559	76,853	27,935
Net Realized Capital Gains (Losses)	-5,825	2,788	16,406	-3,293	-3,860
Net Unrealized Capital Gains (Losses)	-11,992	-13,290	24,586	-49,782	-11,701
Net Change in Paid-In Capital and Surplus	...	...	-581	-9,814	-4,836
Net Change in Surplus Notes	-2,400	-5,025	-2,400	-2,400	-7,150
Stockholder Dividends	...	...	-2,000	-819	-994
Other Changes	-6,277	-28,304	-26,481	56,639	45,788
Net Change in Capital and Surplus	-16,927	-29,308	26,090	67,384	45,182
Ending Capital and Surplus	477,856	494,784	543,423	517,333	449,950
Net Change in Capital and Surplus (%)	-3.4	-9.0	5.0	15.0	11.2
Net Change in Capital and Surplus (5-yr CAGR)	3.4	...	...	...	...

Source: BestLink® - Best's Financial Suite

Year End - December 31

Liquidity Analysis (%)

	2024	2023	2022	2021	2020
Overall:					
Operating Cash Flow Margin (%)	22.2	17.9	29.0	57.3	28.7
Current Liquidity (%)	109.2	111.5	116.4	114.5	114.1
Health Operations:					
Benefit and Loss Related Payments to Net Premiums Collected (%)	56.1	61.9	137.1	131.1	88.7
General Expenses and Taxes Paid to Net Premiums Collected (%)	51.6	54.0	89.3	70.3	37.6
Premium Receivable Turnover (months)	...	...	...	...	0.1

Source: BestLink® - Best's Financial Suite

Balance Sheet Strength (Continued...)

	Year End - December 31				
Leverage (%)	2024	2023	2022	2021	2020
Debt to Total Capital and Surplus	8.6	8.6	35.6	44.5	17.1
Net Premiums Written to Total Capital and Surplus	1.5	1.2	0.5	0.2	0.5
General Account Liabilities to Total Capital and Surplus	9.8	9.0	7.9	8.1	8.9

Source: BestLink® - Best's Financial Suite

Asset Liability Management - Investments

Invested assets continued to see growth during 2024 driven by the group's continued organic growth through sales and recaptured core preneed business. Investment allocations remained largely in line with the previous year, with the exception of modestly lower bond holdings offset by growth in schedule BA assets. The net yield on the investment portfolio saw notable improvement over the prior year with a 50 basis point improvement in the bond portfolio alone. The group utilizes derivative instruments to provide protection from the inflation risk associated with certain preneed products that have growth rates (the growth of policy face amounts) tied to increases in a Consumer Price Index (CPI).

The group's other invested assets are mainly comprised of publicly-traded surplus notes and limited liability companies (LLC's) invested in real estate holdings, including a property adjacent to the NGLIC home office.

NGL utilizes an approach of asset segmentation, combined with cash flow testing, to match its investments to specific blocks of liabilities. Asset segmentation is managed internally to enhance the company's duration matching. In addition, NGLIC employs an active investment strategy to help quickly identify the need for asset mix and duration adjustments. Furthermore, the growth of asset and liability segmented balances and their respective durations and convexities are reviewed regularly by management and reported quarterly to the board of directors.

Bonds account for approximately 85% of the total invested assets. The group purchases only investment grade bonds (NAIC Class 1 and 2) or unrated bonds it believes will be rated as investment grade by the NAIC and hence the vast majority of all bonds currently held remain investment grade. All other bonds represent highly rated securities that suffered ratings downgrades subsequent to acquisition. Below investment grade bonds have decreased to under 2% of total bond holdings in 2023, down notably from over 5% the previous year. Preferred and common stock also represent an immaterial amount of total invested assets.

The group's mortgage portfolio allocation has remained largely steady over the previous 5 years with the asset class representing between 2 and 4% of total invested assets over that time period. All new mortgage loans issued by NGL are commercial loans. The group continues to employ conservative mortgage underwriting parameters, and the majority of all commercial mortgages have full or partial recourse to the principal borrowers. The mortgage loan portfolio is well diversified, both geographically and by property type. The group continues to look for favorable underwriting opportunities and has the appetite for a larger mortgage portfolio in future years.

	Year End - December 31				
Composition of Cash and Invested Assets	2024	2023	2022	2021	2020
Total Cash and Invested Assets USD (000)	4,812,661	4,648,140	4,566,639	4,469,683	4,329,959
Composition Percentages (%)					
Cash and Short Term Investments	2.1	1.8	1.6	2.2	1.4
Bonds	85.0	84.5	85.1	88.2	90.8
Preferred and Common Stock	0.8	0.9	1.5	1.7	2.6
Mortgage Loans	3.8	3.9	3.9	3.0	2.1
Other Invested Assets	8.2	9.0	7.9	4.9	3.1
Non-Admitted	...	-0.1	...	...	...
Total	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Balance Sheet Strength (Continued...)

Bonds and Short Term Investments - Distribution by Maturity (%)	Years					Average (Years)
	0-1	1-5	5-10	10-20	20+	
Government Bonds	0.1	0.3	0.2	0.2	0.1	9.5
Government Agencies and Municipal Bonds	0.3	1.1	1.3	2.9	1.1	12.7
Industrial and Miscellaneous Bonds	4.0	17.0	15.6	30.5	24.2	13.5
Bank Loans	...	0.4	0.1	...	...	4.0
Hybrid Securities	...	...	0.2	...	0.2	14.8
Total Bonds	4.3	18.9	17.5	33.6	25.7	13.4

Source: BestLink® - Best's Financial Suite

Bonds - Distribution by Issuer	Year End - December 31				
	2024	2023	2022	2021	2020
Bonds USD (000)	4,091,910	3,928,692	3,888,179	3,940,173	3,931,209
US Government (%)	0.8	1.3	0.9	1.1	2.3
Foreign Government (%)	0.2	0.2	0.2	0.1	0.4
State, Municipal & Special Revenue (%)	6.7	6.6	6.9	6.9	7.9
Industrial & Miscellaneous (%)	91.8	91.6	91.6	91.5	89.2
Hybrid Securities and Other (%)	0.5	0.3	0.4	0.4	0.1
Total (%)	100.0	100.0	100.0	100.0	100.0

Source: BestLink® - Best's Financial Suite

Reserve Adequacy

NGLIC prepares required cash-flow testing as of the end of each year to verify reserve adequacy. Additional tests are completed to compute liability durations in order to match assets by product class. Asset and liability durations are analyzed on a quarterly basis and portfolios are realigned as needed. NGL manages to full spreads when possible, based on guaranteed rates. While a large part of the traditional annuity block is out of the surrender period, the group is not aggressive in its crediting strategy. Concerns with surrenders is mitigated by the long term nature of many of these policies, the controlled or semi-controlled distribution through which they were offered, strong positive cash flows and the group's strong liquidity position.

Operating Performance

NGLIC's pre-tax statutory operating income was notably lower in 2024 from 2023 due to increased expenses from a new policy administration system. The company's more recent strategy change to retain 100% of preneed business has also added some strain leading to temporarily depressed returns. Dividend income of \$15.1M resulting from the dissolution of Preneed Re largely offset the impact of strain in 2023 boosting net investment income significantly compared to the prior year. The group's consolidated statutory pre-tax income has historically been consistently positive over the long-term, with ROEs averaging slightly above the mutual insurer industry average, with the exception of the previous two years and 2015. 2015 results included a coinsurance transaction through which NGLIC acquired the in-force individual life and annuity business and operations of Madison National Life Insurance Company and its affiliate. Sales of single-pay preneed products, which produce a statutory gain in the year of issue, and profits generated by the group markets lines steadily contribute to operating earnings.

Prior to the one-time dividend boost from the dissolution of Preneed Re, NGLIC's investment income decreased modestly in 2023 on lower net yield compared to the outlier favorable results from the prior year. While net investment yield had been challenged by the low interest rate environment in the past the group continued to stay in line or beat the benchmark composite while new opportunities in the more recent rising interest rate environment open up. Net investment income continued to see growth through 2024.

The company has streamlined its operations; consolidating its acquired information systems, converting a substantial portion of its marketing expenses to variable rather than fixed costs, and selling non-strategic subsidiaries and blocks of in-force business. The present focus for NGL Insurance Group is on growth of its preneed, long-term care, and expanded dental and vision benefits business lines, with strategic mergers and acquisitions to build scale. Preneed insurance remains the company's core direct life insurance product line.



Operating Performance (Continued...)

AM Best notes that as the company builds scale over the coming years in the dental and vision business and leverages its current partnerships in the space, the expectation is for profitability to develop and the lines to become a more integral part of the group's product offerings. Furthermore AM Best notes that the company will continue to see lower interest expenses going forward due to the maturity of surplus notes and the continuing pay-down of outstanding notes which will help offset early losses in the newer product line. These positives will continue to be offset somewhat by expenses integrating a new policy administration system which began in 2024.

Year End - December 31

Net Operating Gain by LOB - Life Operations USD (000)

	2024	2023	2022	2021	2020
Individual Life	-1,764	3,173	6,609	13,645	11,766
Group Life	-435	-2,622	11,883	17,020	14,411
Individual Annuities	1,631	2,051	1,578	5,455	5,627
Group Annuities	281	804	152	-257	98
Accident & Health	192	770	1,412	705	5,003
Other Lines of Business	8,912	9,994	-5,318	39,969	-9,061
Total	8,817	14,171	16,317	76,537	27,845

Source: BestLink® - Best's Financial Suite

Year End - December 31

Net Underwriting Gain - Health Operations USD (000)

	2024	2023	2022	2021	2020
Dental	400	286	245	312	309
Other Non-Health	...	17	...	...	...
Total	400	303	245	312	309

Source: BestLink® - Best's Financial Suite

Business Profile

Prior to 2023 the NGL Insurance Group was comprised of multiple life insurance companies, National Guardian Life Insurance Company (NGLIC) being the primary. In recent years NGL has been focused on streamlining operations, growth of key product lines, and strengthening partner relationships. NGLIC's subsidiary life insurance companies were sold to third parties in 2022, and today NGLIC is the sole insurance entity in the group. Non-insurance subsidiaries include NGL Holdings (NGL-H), which is a non-operating holding company formed in 1989 and owns NGL Financial Services (NGL-FS). NGL-FS is a corporate owned general agency that provided insurance products of other carriers to the former career and brokerage distributions systems. Its primary use today is to receive renewal commissions on business that remains in-force through this arrangement. NGL-H also owns NGL Investment Services (NGL-IS) which offered advance funding to select funeral homes as a complimentary product to NGL's preneed business. The advance funding service was transferred to an outside company in late 2019 and the business is in run off.

National Guardian Life Insurance Company commenced business in 1910 as a stock life insurance company under the name Guardian Life Insurance Company. The name was changed to National Guardian Life Insurance Company in 1920, and the Company adopted a plan of mutualization in 1936 and operates as a mutual life insurance company. NGLIC's home office is in Madison, WI. National Guardian Life's operations are conducted in 49 states and the District of Columbia.

Historically, NGLIC offered a variety of both individual and group products including ordinary, universal, term, and interest sensitive whole life insurance, single and flexible premium deferred annuities, disability income and group life, sold through career agents and independent brokers. NGLIC ceased marketing most of these product lines by the early 2000's, and sold material blocks of legacy business in 2020 and 2021 as part of its efforts to streamline and leverage flexibility in capital. The current marketing strategy is primarily one of wholesale distribution through independent marketing organizations and brokers, allowing NGLIC to replace traditionally fixed expenditures with variable costs tied to production. Current sales focus is on the Company's preneed and long-term care business lines, with the company retaining 100% of preneed business and 50% of long-term care business written during 2023 and beyond. Group products were primarily comprised of dental and vision policies sold through partnerships involving independent third parties that market and administer the business. Throughout 2024, NGLIC continued its strategy of developing and retaining their core preneed business and establishing the relationships and platforms necessary for sustaining organic growth into the future.

Business Profile (Continued...)

In April 2012, NGLIC executed an affiliation agreement with Commercial Travelers Mutual Insurance Company (CTMIC), a mutual health insurer domiciled in New York, in order to provide the NGL Insurance Group and its partners access to the State of New York through an affiliate. NGLIC sponsored the demutualization of CTMIC and made it a stock subsidiary in May 2017. The name of the company was officially changed to Commercial Travelers Life Insurance Company (CTLIC) when it was subsequently granted life authority in the State of New York. In 2021, the Company formed a partnership with a third-party to form a new entity, Insurance Strategy Holdings, LLC (ISH), and contributed CTLIC to the formation in exchange for 50.1% of the outstanding shares of ISH. In 2022, ISH acquired a group of companies which provide dental benefits and services to certain niche markets, and later sold CTLIC for \$7.5 million.

On July 31, 2015, NGLIC acquired the in force individual life and annuity business and operations of Madison National Life Insurance Company and its affiliate Standard Security Life Insurance Company of New York (MNL). NGLIC acquired net reserves of approximately \$260 million via coinsurance (\$190 million individual life, \$70 million annuity) representing 280,000 policyholders. On December 31, 2021, NGLIC sold this business to a third-party for a ceding commission of \$61 million. \$47.5 of the gain was deferred to the Company's surplus and \$4-5 million is released to net income each year. Six months later, NGLIC completed the sale of its life insurance subsidiary, Settler's Life Insurance Company, to the same third party for an additional \$66 million.

Prior to being dissolved in 2023, Preneed Reinsurance Company of America (Preneed Re) was used to reinsure a portion of preneed business written through NGLIC by select marketing partners and help align the marketing organizations' interests with NGLIC's. Marketing partners were granted ownership in Preneed Re based on the volume and quality of business written and thereby shared in the profitability of the business. In 2017, NGL terminated the cession of new business into Preneed Re under the modified coinsurance reinsurance treaty between the two companies. As this assumed business was Preneed Re's only source of revenue and the majority was single pay preneed, the company's premium was expected to gradually decline as the in-force block ran off.

Year End - December 31

Net Premiums Written by Line of Business USD (000)

	2024	2023	2022	2021	2020
Individual Life	216,090	175,852	76,885	-54,828	37,125
Group Life	399,577	350,009	140,059	164,052	318,191
Individual Annuities	15,554	12,717	11,922	-76,517	-180,011
Group Annuities	24,504	19,542	19,271	19,325	9,473
Accident & Health	13,743	13,067	12,151	11,257	11,189
Dental	33,745	32,848	29,941	29,722	32,816
Total	703,212	604,036	290,228	93,010	228,783

Source: BestLink® - Best's Financial Suite

Enterprise Risk Management

NGL Insurance Group has an enterprise risk management program tailored for their size and lines of business. Operational and technological disaster recovery plans are regularly updated and tested. Additionally, being active in acquisitions, NGL Insurance Group has a robust due diligence program for partners, including marketing and administrative, which are screened on the front-end and regularly monitored thereafter. On its group markets partnerships, NGL Insurance Group strives to encourage marketing partners to share in the risk through some level of reinsurance participation.

Product risk management is based on the current business model in which NGL Insurance Group has strategically chosen niche markets with diversifying risk characteristics. Within any given product segment, the risks are well understood with proper management levers for effective management of the risks. NGL Insurance Group's mortality risk on preneed is limited to small face amounts and is not group driven, avoiding large claim and catastrophic risk. Persistency risk on the life business is managed by actively focusing on agent sales practices and behavior. Additionally, agent compensation is used to incentivize appropriate agent behavior that is aligned with the company's goals. NGL Insurance Group has avoided products with high investment risk which has enabled conservative asset management and capital preservation and uses consistent application of financial metrics and measurement tools.

NGL Insurance Group has a Senior Manager of Risk Management who is responsible for the Risk Management program, and a Chief Audit Executive who oversees the Internal Audit Department. These positions report functionally to the NGL Insurance Group's Audit Committee and provide them with risk assessment updates several times a year.

Enterprise Risk Management (Continued...)

NGL Insurance Group also has a Risk Management Committee made up of senior officers that meets at least quarterly to discuss risk management issues and review risk measurement reports. The committee proactively reviews key risks, such as investment management, operational, potential merger and acquisition opportunities, capital adequacy, as well as the use of derivatives. The team meets quarterly to review monitoring reports and product strategy. Each product type is reviewed and assigned a level of risk category (low, medium, high) as it relates to credit, interest rate, disintermediation, persistency, mortality. In addition, the committee's work is supplemented by weekly Executive Committee meetings where information is shared about various elements of the day-to-day operations. This open communication forum is an important element of the overall risk management process.

Reinsurance Summary

The company has used reinsurance primarily for the transfer of morbidity and mortality risk in excess of their retention, and to transfer risk and reward to certain preneed and group markets partners. As of July 1, 2020, NGL utilized a funds withheld agreement to transfer 100% of the risk for \$366M of closed block business to a Bermuda based reinsurer. The block included all of NGL's acquired and issued deferred annuity business, a significant portion of disability and other health contracts, and certain lines of life policies. NGL continues to provide administration of the block and is reimbursed under terms of the agreement. As of January 1, 2021, the Company entered into a flow reinsurance agreement, also in the form of Funds Withheld, transferring 80% of the risk for certain lines of new issue preneed contracts to a different Bermuda reinsurer. The transaction provided an increased level of profitability on new business through the ceding commission, and released some of the first year capital strain. In a move to place additional focus on the company's core product line NGL began to retain 100% of preneed risk in 2023. On December 31, 2021, NGLIC sold a block of certain life, annuity, and accident & health policies (which had previously been acquired from MNL) through a coinsurance with funds withheld reinsurance agreement to a third party domestic life insurance company. Concurrently, NGLIC executed a coinsurance agreement with the same party for a block of single premium immediate annuities. The administration for both of these blocks of business was outsourced to EXL.

Environmental, Social & Governance

AM Best considers NGL Insurance Group's exposure to material environmental, social and governance (ESG) risks to be low. The company operates in an environment where its underwriting activities have relatively low exposure to climate risk, and its underwriting and investment profiles are not exposed to assets and industries considered by some to be problematic. The company operates mostly in line with market peers. Presently ESG factors are unlikely to impact the credit quality of the company over the short-term. There are no regulatory requirements relating to ESG, although the company regularly monitors developments to ensure its practices are compliant.

Financial Statements

Year End - December 31

	2024		2023	
Balance Sheet	USD (000)	%	USD (000)	%
Cash and Short Term Investments	101,430	2.0	84,361	1.7
Bonds	4,091,910	79.6	3,928,692	79.5
Preferred and Common Stock	37,873	0.7	40,890	0.8
Other Invested Assets	581,447	11.3	594,196	12.0
Total Cash and Invested Assets	4,812,661	93.7	4,648,140	94.1
Premium Balances	35,141	...	29,457	...
Other General Account Assets	290,489	5.7	262,336	5.3
Total General Account Assets	5,138,291	100.0	4,939,933	100.0
Total Assets	5,138,291	100.0	4,939,933	100.0
Policy and Claim Reserves	3,399,066	66.2	3,155,082	63.9
Liability for Deposit Contracts	128,950	2.5	129,194	2.6
Funds Held Under Reinsurance and Coinsurance Agreements	958,464	999.9	1,002,175	999.9
Asset Valuation Reserve	64,708	1.3	64,506	1.3
Accrued Expenses and Other General Account Liabilities	109,246	2.1	94,192	1.9
Total General Account Liabilities	4,660,434	90.7	4,445,149	90.0
Total Liabilities	4,660,434	90.7	4,445,149	90.0
Surplus Notes	40,100	0.8	42,500	0.9
Capital Stock	3	...	3	...
Paid-In and Contributed Surplus	235	...	235	...
Unassigned Surplus	379,574	7.4	400,510	8.1
Other Surplus	57,944	1.1	51,536	1.0
Total Capital and Surplus	477,856	9.3	494,784	10.0
Total Liabilities, Capital and Surplus	5,138,291	100.0	4,939,933	100.0

Source: BestLink® - Best's Financial Suite

Year End - December 31

Income Statement USD (000)	2024	2023
Net Premiums Earned	703,212	604,036
Other Revenues	59,536	32,249
Net Investment Income	247,422	242,906
Total Revenues	1,010,170	879,191
Net Incurred Benefits	632,470	538,426
Commissions and Expense Allowances	190,563	158,860
Insurance and Other Expense	168,642	161,557
Dividends to Policyholders	554	608
Pre-Tax Net Operating Gain	17,942	19,740
Income Taxes Incurred	8,376	5,217
Net Operating Gain	9,566	14,523
Net Realized Capital Gains (Losses)	-5,825	2,788
Net Income	3,741	17,311

Source: BestLink® - Best's Financial Suite



Statement of Operating Cash Flows USD (000)	Year End - December 31	
	2024	2023
Net Premiums Collected	691,178	587,395
Other Revenue Received	29,182	21,797
Net Investment Income	248,838	228,852
Total Income Collected	969,198	838,043
Net Benefits and Loss Related Payments	387,511	363,529
Underwriting and Other Expenses Paid	346,812	308,017
Dividends to Policyholders	563	616
Income Taxes Paid (Recovered)	9,597	8,559
Net Operating Cash Flow	224,715	157,323

Source: BestLink® - Best's Financial Suite

Related Methodology and Criteria

[AM Best's Stress Liquidity Ratio for US Life Insurers, 05/09/2024](#)[Best's Credit Rating Methodology, 08/29/2024](#)[Available Capital and Insurance Holding Company Analysis, 08/15/2024](#)[Evaluating US Surplus Notes, 06/13/2024](#)[Scoring and Assessing Innovation, 02/20/2025](#)[Understanding BCAR for US and Canadian Life/Health Insurers, 05/29/2025](#)

Additional Rating Types

AM Best assigns Best's Issue Credit Ratings. Refer to the profile page to view current Issue Ratings for [National Guardian Life Ins Co \(AMB#006777\)](#)

A Best's Financial Strength Rating opinion addresses the relative ability of an insurer to meet its ongoing insurance obligations. The ratings are not assigned to specific insurance policies or contracts and do not address any other risk, including, but not limited to, an insurer's claims-payment policies or procedures; the ability of the insurer to dispute or deny claims payment on grounds of misrepresentation or fraud; or any specific liability contractually borne by the policy or contract holder. A Financial Strength Rating is not a recommendation to purchase, hold or terminate any insurance policy, contract or any other financial obligation issued by an insurer, nor does it address the suitability of any particular policy or contract for a specific purpose or purchaser.

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